rats, mould, water, fire and thieves. Money, whether paper, computer bits or cowry shells, solves these problems. Cowry shells don't rot, are unpalatable to rats, can survive fires and are compact enough to be locked up in a safe.

In order to use wealth it is not enough just to store it. It often needs to be transported from place to place. Some forms of wealth, such as real estate, cannot be transported at all. Commodities such as wheat and rice can be transported only with difficulty. Imagine a wealthy farmer living in a moneyless land who emigrates to a distant province. His wealth consists mainly of his house and rice paddies. The farmer cannot take with him the house or the paddies. He might exchange them for tons of rice, but it would be very burdensome and expensive to transport all that rice. Money solves these problems. The farmer can sell his property in exchange for a sack of cowry shells, which he can easily carry wherever he goes.

Because money can convert, store and transport wealth easily and cheaply, it made a vital contribution to the appearance of complex commercial networks and dynamic markets. Without money, commercial networks and markets would have been doomed to remain very limited in their size, complexity and dynamism.

How Does Money Work?

Cowry shells and dollars have value only in our common imagination. Their worth is not inherent in the chemical structure of the shells and paper, or their colour, or their shape. In other words, money isn't a material reality – it is a psychological construct. It works by converting matter into mind. But why does it succeed? Why should anyone be willing to exchange a fertile rice paddy for a handful of useless cowry shells? Why are you willing to flip hamburgers, sell health insurance or babysit three obnoxious brats when all you get for your exertions is a few pieces of coloured paper?

People are willing to do such things when they trust the figments of their collective imagination. Trust is the raw material from which all types of money are minted. When a wealthy farmer sold his possessions for a sack of cowry shells and travelled with them to another province, he trusted that upon reaching his destination other people would be willing to sell him rice, houses and fields in exchange for the shells. Money is accordingly a